EPISODE REPORT / 5 NOVEMBER 2026 / SINGAPORE

# Oaktree’s Rates

Wayne Dahl on Treasury yields, credit spreads and where he found value. An independent report on episode 50 of The Insight by Oaktree Capital.

| Speaker | Role in this episode |
|---|---|
| Harry Whitelaw | Host. Oaktree vice president in Marketing & Communications. He introduces the episode and leads the questions. |
| Wayne Dahl | Guest. Managing director and co-portfolio manager of Oaktree’s Global Credit and Global Credit Investment Grade strategies. |

## Where Howard Marks enters the conversation

At about **14:22**, Dahl invokes Oaktree co-founder Howard Marks’s recent writing about attempts to influence long-term U.S. interest rates. At the close, Whitelaw echoes the title of Marks’s Sea Change memo. The two interview voices are Whitelaw and Dahl. A disclosure follows the discussion.

### The passage to replay / 15:20

Whitelaw asks whether credit spreads are too tight. Dahl turns the question around. If a weakening economy widens spreads, it may also pull Treasury yields down. The extra compensation for lending to a company can rise while the total yield available to the buyer barely moves.

## Recording and release

Recorded **20 October 2026**. Released on the podcast feed **5 November 2026 at 1:00 p.m. Singapore time**. Runtime **21:11**. The investment discussion wraps up around 18:25. Your YouTube link starts at 00:28.

- Open the full YouTube recording from the beginning
- 15:20 Jump to the spread and yield discussion
- Open the matching podcast episode

THE CONVERSATION / 00:09–07:30

# Why the long end moved

Harry Whitelaw begins with a puzzle. The Fed had raised its policy rate by just 25 basis points. Why had government bonds across the world repriced so much?

## 01:05 | The expected path of policy reversed

Dahl recalls a market that had envisaged a U.S. policy rate as low as 3% at the end of 2027 and, by the recording, was looking at something near 5%. He attributes much of that shift to inflation expectations. He singles out gasoline and other energy goods, whose U.S. price index rose just under 30% year on year in August. The headline PCE index rose 3.4% and core PCE rose 3.0%. Growth and capital spending also proved more resilient than investors who expected recession had allowed for. The figures for 2027 describe market expectations at two points in time.

## 02:54 | Different maturities tell different stories

At two to five years, inflation expectations rose sharply earlier in 2026. In Dahl's account they rose enough at one point to squeeze the real yield, the return above expected inflation. At ten and thirty years he saw steadier inflation expectations. He attributed the rise in those nominal yields mainly to higher real yields. He lists stronger growth prospects, competition for savings, fiscal concerns and less buying from abroad as contributors.

## 04:20 | A hyperscaler competes with the U.S. Treasury

A buyer of 30-year debt can also lend to a highly rated technology company financing AI infrastructure. If that corporate bond offers a premium, the buyer can demand better terms from the government as well. Dahl cites projections of more than US$5 trillion in capital spending by 2030, with more than US$2 trillion funded through investment-grade bonds. These were projections discussed on air.

## 05:21 | How Europe fits

Dahl points to Japan, Germany, Italy, the UK and France as evidence of a broader repricing. Yet U.S. and European high-yield bonds had durations around three years or less in his account. For that part of the market, his comparison turns on the issuer and the spread. He had found European credit attractive earlier in the year. By October, narrower relative compensation had made parts of Europe look riskier to him than the U.S.

- 02:54 Hear the real-yield explanation
- 04:20 Hear the AI financing example

THE CONVERSATION / 07:34–13:39

# The same rate has two sides

Whitelaw follows the increase in rates from the U.S. household budget to the corporate interest bill. Dahl's answer turns on when an existing loan actually reprices.

## 07:34 | Why household stress can arrive late

Many U.S. homeowners have fixed their mortgage rate for up to thirty years. Existing car loans can also run for several years at a fixed rate. A September Fed increase therefore need not change next month's payment on those contracts. It changes the arithmetic for a family that wants to move, build a home or replace a car. Dahl saw that pressure in housing activity and in the cost of new financing.

## 09:14 | Jobs can hold up while purchasing power slips

Whitelaw points to a fairly steady unemployment rate. Dahl looks one level down. He describes real wage growth as negative by many measures in 2026, alongside resilient spending. More part-time work and, in some months, more people holding multiple jobs suggested to him that households were finding additional income to maintain consumption. That last step is his interpretation of the data.

## 10:52 | What the fixed-rate bondholder receives

Dahl describes a move from 7% to 8% yields as a more attractive entry point when borrowers remain sound. He saw good fundamentals in much of U.S. and European high yield, with some of the worst risks concentrated in weaker names. A fixed coupon sets a payment schedule. The return realised by an investor also depends on the purchase price, repayment, any call, the holding period and reinvestment of coupons.

## 11:49 | What the floating-rate borrower must pay

When the reference rate resets higher, a floating-rate lender earns more interest with relatively little direct sensitivity to the rate move. That extra interest comes out of the borrower's cash flow. An issuer that has already used up its balance-sheet flexibility can struggle. Dahl sees this divergence most clearly in CCC-rated syndicated loans, where the weakest names trade at much wider spreads than the rest. Wider spreads create scope for selection and signal a higher risk of loss.

- 07:34 Household borrowing and the delay in rate transmission
- 11:49 The two sides of a floating coupon

THE CONVERSATION / 13:40–16:32

# Why waiting for wider spreads can disappoint

This is the exchange to replay. Whitelaw asks whether historically tight credit spreads weaken the case for buying. Dahl asks what else would have to happen in the economy for those spreads to widen.

## 13:40 | Useful income was available at shorter maturities

Dahl says the flatter curve reduced the need to extend far out for yield. Shorter-duration income also reduces dependence on a forecast for the long end, which is exposed to fiscal policy, bond supply and changing investor demand. At about 14:22 he explicitly brings Howard Marks into the discussion, referring to his recent memo on U.S. efforts to influence long rates.

## 14:44 | The credit index changed composition

Whitelaw notes that high-yield spreads had moved above 300 bp. Dahl agrees that spreads still looked tight. He also points to what he describes as a record share of BB-rated bonds, the highest rating tier within high yield. Today’s index can be stronger than the index underlying an older average. Comparing only the two average spreads can conceal that change.

## 15:20 | What has to happen to get a 9% entry yield?

Dahl’s illustration starts near 8%. If credit spreads widen by 100 bp and benchmark yields stay put, the new yield would be near 9%. But suppose the trigger is weaker consumption or an economic slowdown. Investors may simultaneously mark down the path of policy rates and buy Treasuries. The fall in the underlying benchmark can offset some or all of the extra spread.

| If spreads widen by 100 bp… | Effect on a comparable bond’s all-in yield |
|---|---|
| Benchmark yield stays flat | The yield rises by 100 bp. |
| Benchmark yield falls by 100 bp | The two moves offset. The entry yield is unchanged. |
| Benchmark yield falls by a smaller amount | The entry yield rises by less than 100 bp. |

### The cost of waiting

A cash balance can earn interest while an investor waits. What the investor forgoes is the bond’s carry above cash, as well as any price move. Whether waiting pays depends on both yields, the entry price later and what happens to the credit. At 16:21 Dahl credits colleague David Rosenberg for emphasising that an investor has to own an income-producing asset to collect its income.

- 14:22 Dahl refers to Howard Marks
- 15:20 Replay the spread-versus-yield example

THE CONVERSATION / 16:33–21:11

# Where Dahl looked beyond corporate bonds

Whitelaw closes by asking where an investor could earn a different risk premium from the one available in high-yield bonds and senior corporate loans. Dahl names two areas of structured credit.

## 16:43 | Non-agency residential mortgage-backed securities

A residential mortgage-backed security (RMBS) draws cash flows from a pool of home loans. In the non-agency market, the investor must examine the loans and the protection built into the deal. Dahl liked the low loan-to-value ratios and the quality of borrowers he was seeing. If a borrower defaults, that equity cushion can limit the lender’s loss on the sale of the home. The borrower profile he described differed from the subprime-heavy pools associated with the period before 2008.

## 17:24 | Early repayment can change the return

Dahl sees the possibility of faster prepayments if mortgage rates fall. The effect depends on the price paid. A bond bought below par may benefit when principal comes back faster at par. An investor who paid a premium can lose part of it, and cash that comes back must be reinvested. The trade therefore depends on borrower behaviour as well as credit quality. The price examples are this report’s explanation of Dahl’s observation.

## 17:34 | Collateralised loan obligations

A CLO holds a portfolio of loans and issues securities with different priorities of payment. Dahl observed wider spreads on some older deals with weaker collateral, and felt the extra spread was warranted. He also saw newer deals with cleaner loan pools still offering attractive compensation. The vintage is a starting point. The borrowers, their concentrations and the tranche’s place in the payment order determine how much a buyer can lose.

| Before comparing two structures | What to inspect |
|---|---|
| Non-agency RMBS | Borrower equity, loan performance, purchase price and sensitivity to prepayments. |
| CLO debt | Collateral quality, exposure to weak issuers, tranche seniority and protection against losses. |

## 18:12 onward | Closing

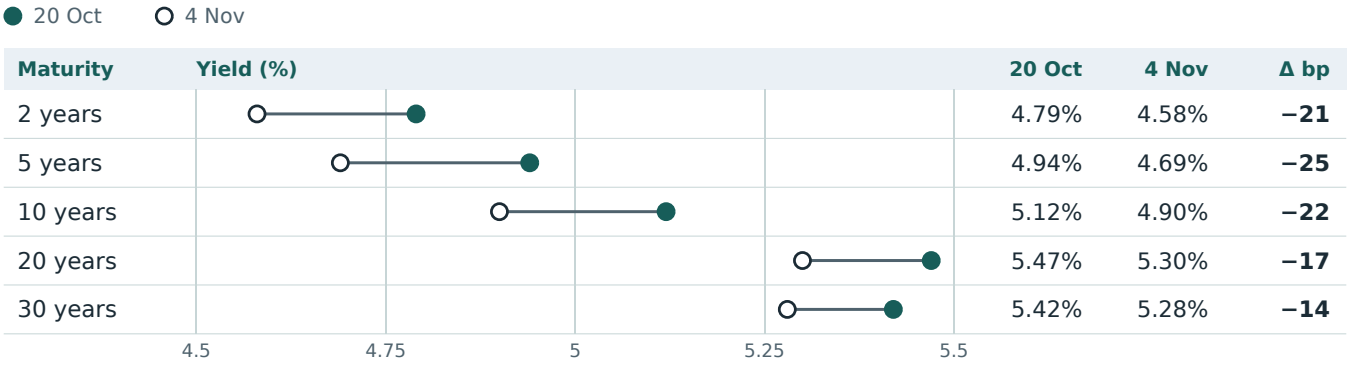
Whitelaw ends the conversation and Dahl thanks him. Music and Oaktree’s standard spoken disclosures follow. The release gives no separate narrator credit for those disclosures.

- 16:43 Non-agency mortgage credit
- 17:34 CLO collateral and vintage

INDEPENDENT MARKET CHECK / U.S. DOLLARS

# What the market actually priced

Official closes on the recording date and the day before Singapore release. The two snapshots show how quickly the price available to an investor can move while an interview is awaiting publication.




| Maturity | Yield (%) | 20 Oct | 4 Nov | Δ bp |
|---|---|---|---|---|
| 2 years | | 4.79% | 4.58% | **−21** |
| 5 years | | 4.94% | 4.69% | **−25** |
| 10 years | | 5.12% | 4.90% | **−22** |
| 20 years | | 5.47% | 5.30% | **−17** |
| 30 years | | 5.42% | 5.28% | **−14** |

## A concrete choice at the long end

On 4 November, extending from ten to thirty years added 5.28% − 4.90% = **0.38 percentage points, or 38 bp**. Extending from twenty to thirty years gave up 2 bp. A long bond can still suit a long-dated liability or a view on falling yields. An investor seeking extra income alone should know how little additional yield that last decade offered. These are interpolated Treasury par yields. An individual low-coupon bond or STRIP has its own price, duration and yield.

PUBLIC EDITION | Credit benchmarks

The ICE BofA index table and calculations derived from its licensed observations are omitted. The original source links remain in the source register.

Credit spread is the compensation above a benchmark for bearing credit and other risks. A wider spread need not produce a proportionately higher all-in yield when government yields fall. Neither measure guarantees repayment.

### After the recording

On 28 October the Fed held its target range at 3.75%–4.00% on a 10–2 vote. Both dissenters wanted another 25 bp increase. This later decision leaves Dahl’s 20 October observations in their original context.

- U.S. Treasury • October observations
- U.S. Treasury • November observations
- Federal Reserve • 28 October decision

HOWARD MARKS / COMPANION READING

# The Howard Marks connection

Two of Marks's own memos bring a lender's perspective to the episode. His personal borrowing history is an especially clear way to see how a whole generation learned what "normal" interest rates looked like.

## Sea Change | The notice he framed

In December 1980 a Chicago bank informed Marks that his floating loan had reached **22.25%**. He framed the notice. Four decades later, he could borrow at **2.25% fixed for ten years**. The difference between his two borrowing rates was exactly 20 percentage points, or 2,000 basis points. Someone who spent a career investing between those dates could easily mistake a powerful tailwind for a permanent feature of markets.

## What that changes for a lender

Falling rates cut the cost of servicing debt, increased the present value of future cash flows and supported prices for assets bought with borrowed money. Lenders faced the opposite problem when new loans paid very little. Marks's 2022 argument was that higher starting yields made meaningful prospective returns available from credit again. The promised income is valuable only to the extent that the borrower can deliver it.

## Shall We Repeal the Laws of Economics – Part III | Who sets the long rate?

Marks's September 2026 memo asks what Treasury buybacks can achieve. The Fed directly targets the overnight policy rate. Longer-term investors still decide what return they need for inflation, supply and fiscal risk. Marks accepts that a purchase programme can lift bond prices while it operates. He questions whether the effect can last if the forces driving yields higher persist.

### Why it matters for a leveraged bond investor

A credit investor can be right that today's yield is worth owning and wrong about how much to borrow against it. A funding reset, an adverse currency move or a collateral call can shorten the holding period. For a Singapore investor using CHF to finance a USD bond, the issuer's ability to repay and the investor's ability to hold the bond are two different questions. This is the report's application.

- Howard Marks • Sea Change • 13 December 2022
- Howard Marks • Shall We Repeal the Laws of Economics – Part III • 22 September 2026

PORTFOLIO APPLICATION / SINGAPORE

# How to use this in a bond review

Three investors can buy the same USD bond and experience very different results. A cash buyer may hold through a drawdown. A financed buyer may face a collateral call. A client measuring wealth in SGD also has an exchange rate to consider.

| Decision | What to compare before acting |
|---|---|
| Extend a U.S. Treasury holding | Record the executable price, yield, modified duration and cash-flow dates on both bonds. Calculate the net yield pickup after switching costs. Check the value if the long-end yield rises even as the Fed holds or cuts. |
| Add a corporate bond for income | Compare its spread with a similar-duration benchmark and with peers of similar seniority. Inspect interest coverage, near-term maturities, refinancing needs and call terms. Ask what justifies the premium at the actual entry price. |
| Buy a floating-rate loan or fund | A higher base rate can increase the coupon and weaken the same borrower. Stress its ability to service debt after resets. For a fund, check how far a handful of stressed loans can move the portfolio. |
| Fund a USD asset in CHF | Map USD coupons and principal, CHF interest and principal, and the SGD reporting currency. Check the next loan reset, collateral recognition, facility terms and available liquidity. Run USD bond-price risk and CHF appreciation both separately and together. |

### A question for a client conversation

“If this bond pays every coupon, what could still make you sell it early?” A future cash need, adverse FX or a margin call can matter more than the yield on the trade ticket. For a buyer able to hold in USD without borrowing, the same issuer may present a very different decision.

## What to take from Dahl

For an income objective, compare the compensation available at a shorter maturity before moving farther out. For a duration objective, write down the long-rate exposure you actually want. For a credit objective, identify the borrower and the cash flow supporting repayment. Those decisions can be reviewed separately even when one bond contains all three.

SOURCES / VERIFICATION

# Recordings, data and reading

The timestamps are approximate navigation points from an automated transcription of Oaktree's original podcast audio. The YouTube upload and podcast share the title, description, recording date and 21:11 runtime. The interview is paraphrased throughout.

## Primary recording and the people

Whitelaw introduces himself at 00:09 and names Dahl at 00:40. Oaktree's biographies confirm their roles.

- Oaktree • Rates • YouTube
- Oaktree • Rates • original podcast on ART19
- Oaktree • Wayne Dahl
- Oaktree • Harry Whitelaw

## Recording-day credit benchmarks

ICE Data Indices supplies the U.S. corporate and high-yield index series via FRED. The tables on page 6 use the 20 October 2026 observations. One basis point equals 0.01 percentage points.

- U.S. Corporate Index • effective yield
- U.S. Corporate Index • option-adjusted spread
- U.S. High Yield Index • effective yield
- U.S. High Yield Index • option-adjusted spread

## Additional checks on the backdrop

The September Fed statement records the 25 bp hike to 3.75%–4.00%. The August BEA release available at recording put headline PCE inflation at 3.4% year on year and core at 3.0%. A separate J.P. Morgan Asset Management paper cites estimates of US$5.5 trillion of cumulative AI-related investment by 2030 and US$2.1 trillion of investment-grade funding. These are forecasts. Dahl does not name the forecaster in the interview.

- Federal Reserve • 16 September decision
- Bureau of Economic Analysis • August 2026 PCE release
- BEA monthly data • gasoline and other energy goods, series DGOERG
- J.P. Morgan Asset Management • Hyperscalers and credit issuance
- Oaktree • Credit Quarterly, 8 October 2026 • contemporaneous credit research